Financial KPI Glossary

Revenue

Total income from selling goods and services before any costs are deducted.

Gross margin

Gross profit divided by revenue. Shows how much of each dollar of sales remains after direct costs.

EBITDA

Earnings before interest, tax, depreciation and amortisation. Approximates operating cash generation.

Operating margin

Operating income (EBIT) divided by revenue.

Net profit margin

Net income divided by revenue.

Current ratio

Current assets divided by current liabilities. Above 1.0 means short-term obligations are covered.

Debt-to-equity ratio

Total liabilities divided by shareholders' equity. Measures financial leverage.

Return on equity (ROE)

Net income divided by shareholders' equity.

Return on assets (ROA)

Net income divided by total assets.

Free cash flow

Operating cash flow minus capital expenditure. Cash available to repay debt or pay dividends.

Earnings per share (EPS)

Net income divided by the number of shares outstanding.

Interest coverage

Operating income divided by interest expense. Below 1.5 is usually considered risky.